

The Morning Brief

MAY 26, 2026

Peace Premium

Tuesday returns with S&P futures up 0.65% and Brent near \$96 as the Iran framework holds despite Tehran’s pushback on Hormuz control, with PCE before the open Thursday and Dell after the close behind a new Fed chair.

S&P 500 (FRI CLOSE)	S&P FUTURES (PRE)	BRENT (LIVE)	BITCOIN (LIVE)	FEAR & GREED
\$745.66 ↑0.40%	↑0.65% pre-open	~\$96 · war premium compressing	~\$77,400 · range-bound	30 · Fear

SECTION 01

Markets — Tuesday Open After Memorial Day

THREE CALENDAR DAYS OF NEWS, ONE TRADING SESSION TO ABSORB IT — FUTURES OPEN HIGHER AS THE PEACE FRAMEWORK HOLDS TOGETHER

S&P 500 futures traded up roughly 0.65% in the early Tuesday session as the cash market returned from Memorial Day, per CNBC. The pre-open setup is constructive: Brent has compressed toward \$96 per barrel overnight per Korea Times and CNBC coverage as the Iran framework progresses, South Korea’s Kospi tagged a fresh record near 8,131, and the European tape extended last week’s rally per T. Rowe Price coverage. Friday’s cash session closed with SPY at \$745.66 (↑0.40%), the Dow at \$506.14 (↑0.60%), the Nasdaq at \$717.56 (↑0.43%), and the Russell 2000 leading at \$285.14 (↑0.94%) — ten of eleven sectors finished positive, with only communications services (−0.53%) red. The setup heading into the open is a market absorbing a peace framework that may or may not survive contact with Tehran’s pushback on the Hormuz control language, into a holiday-shortened week that loads PCE before the open Thursday and Dell after the close that same day. Fear & Greed sits at 30 (Fear) despite the broad green tape Friday — a gap between price action and positioning that has persisted for over a week.

S&P / DOW / NASDAQ (FRI)	\$745.66 ↑0.40% · \$506.14 ↑0.60% · \$717.56 ↑0.43%
RUSSELL 2000 (FRI)	\$285.14 · ↑0.94% · small-cap leadership
S&P FUTURES (PRE-OPEN)	↑0.65% per CNBC · constructive open setup
FRIDAY BREADTH	10 of 11 sectors green · XLV ↑1.19% · XLK ↑1.01% · XLC ↓0.53% only red
CARSON’S ACTIVE LEVEL	SPY \$645.80 support · Untested (Fri low \$744.48)
FEAR & GREED	30 · Fear · gap to price persists

CRDO +12.95%, QCOM +11.61% — THE Q2 ADDITIONS AND THE AI INFRASTRUCTURE SLEEVE CARRIED FRIDAY’S HEADLINE

Friday’s leadership inside the IOWN sleeves was single-stock and concentrated. Credo Technology closed at \$218.43 (↑12.95%) on a Zacks upgrade to Strong Buy and Rothschild & Co Redburn initiating with a Buy rating and \$206 target, per Benzinga; the DustPhotonics acquisition is expected to close this quarter. Qualcomm finished at \$238.18 (↑11.61%) following the May 21 expansion of the Stellantis Snapdragon Digital Chassis partnership, which extends Snapdragon Ride Pilot and STLA Brain integration across millions of next-

generation Stellantis vehicles per the joint announcement; the deal lifted QCOM's automotive run-rate above \$5 billion. NXPI added 5.72%, VST gained 4.84%, AMD rose 3.99%, MRVL added 2.97%, and FTNT closed 3.47% higher. On the laggard side, CTRA closed at \$32.56 (−8.62%) as the Devon merger dynamics continue to weigh, and COIN finished at \$185.01 (−4.42%) alongside the digital-asset ETF weakness (IBIT −2.34%, ETHA −3.53%). The physical-AI infrastructure sleeve continues to deliver at the holding level, not just at the index level. **The physical world matters.**

WARSH TOOK THE OATH FRIDAY — THE FIRST FOMC MEETING UNDER NEW LEADERSHIP LANDS IN JUNE

Kevin Warsh was sworn in as the 17th Federal Reserve chairman on Friday, May 22, in the East Room of the White

House, per CBS and the Federal Reserve Board press release — the first Fed chair to be sworn in at the White House since Alan Greenspan in 1987. The FOMC unanimously selected Warsh as its chairman. President Trump struck an unexpectedly hands-off tone at the ceremony, per Axios, telling Warsh to be “totally independent.” The inheritance is constrained: inflation has run hotter than expected, the Middle East energy shock has bled into broader price data, and FOMC colleagues remain skeptical of near-term cuts. Per analyst commentary referenced in our coverage, market-implied odds continue to lean toward no cuts in 2026. Warsh's first FOMC meeting falls in June. The committee's reaction function under new leadership is the macro variable behind every IOWN rate-sensitive position from REIT-adjacent exposure to the utilities sleeve. **Avoid Erosion.**

A constructive futures setup into a tape carrying a tentative peace framework, a fresh Fed chair, and a Thursday that stacks PCE before the open and Dell after the close — the macro and the AI-server micro land inside the same session. Research Reveals Opportunities.

Geopolitics

THE MOU SURVIVES THE HOLIDAY WEEKEND — TRUMP CALLS IT “PROCEEDING NICELY” WHILE TEHRAN DISPUTES THE HORMUZ CONTROL LANGUAGE

The 14-point memorandum of understanding the prior brief flagged remained on the table through the long weekend without finalization, per CNN and Al Jazeera coverage. President Trump stated on Monday that talks were “proceeding nicely.” The framework as currently described contemplates a roughly sixty-day ceasefire extension during which the Strait of Hormuz would be reopened, Iran would be able to freely sell oil under sanctions relief, and parallel negotiations on the nuclear file would proceed. The unresolved seams remain material: per Reuters and Al Jazeera, Iranian state media continues to dispute that Hormuz would shift outside Tehran’s management; the timing of sanctions relief and the scope of the nuclear track remain points of friction; and frozen Iranian assets have surfaced as an additional sticking point. The market read on Tuesday morning is that the framework is intact enough to keep oil compressing — Brent traded near \$96 per barrel overnight per Korea Times and CNBC coverage as Iran framework progress drove a multi-day drift lower — but not yet finalized enough to fully unwind the war-risk premium.

THE IOWN ENERGY SLEEVE SITS AT THE HINGE — DOWNSTREAM AND INTEGRATED NAMES DIVERSIFY THE SLEEVE THROUGH THE TRANSITION

A confirmed Hormuz reopening within the sixty-day window would, per Wood Mackenzie commentary previously referenced, point spot Brent toward \$80 by year-end as the war-risk premium unwinds; Goldman Sachs has cited a late-2026 view closer to \$90 on more persistent disruption. The sensitivity is already visible in Friday’s tape: CTRA closed at \$32.56 (−8.62%), CNX at \$35.32 (−0.65%), with USO and BNO both posting weekly losses on progress signals. For the integrated and downstream names — VLO at \$246.98 (↑2.44% Friday) and CVX at \$191.45 (↑0.23%) — the profile diversifies the sleeve’s exposure relative to the upstream-and-gas concentration. The structural case for the energy sleeve does not reset on a procedural framework alone; the “physical world matters” thesis was built around constrained capacity and supply discipline rather than around an escalation path.

Defense exposure (LMT at \$533.26, ↑2.00% Friday; GD at \$342.91, ↑1.24%) retains an orthogonal-hedge role through the transition window — a sixty-day ceasefire is not a permanent retirement of the underlying risk.

MOU STATUS (MON)	Trump: “proceeding nicely” · Framework intact through holiday
FRAMEWORK TERMS	60-day ceasefire · Hormuz reopening · Iran oil sales · parallel nuclear track
UNRESOLVED SEAMS	Hormuz control (Iran disputes) · nuclear scope · sanctions timing · frozen assets
BRENT SPOT (LIVE)	~\$96 per barrel overnight per Korea Times/CNBC · multi-day drift lower
ASIA OPEN (OVERNIGHT)	Kospi at fresh record per CNBC · European tape extended
BRENT SCENARIOS	~\$80 year-end (Wood Mackenzie) · ~\$90 late-2026 (Goldman)

On Our Radar

1. Thursday's 8:30 AM ET tape carries the April PCE Deflator and the second Q1 GDP estimate — the gating macro print into Warsh's first FOMC meeting in June.

Per the BEA release schedule, the April Personal Income and Outlays report containing the PCE Deflator releases at 8:30 AM ET on May 28 alongside the second GDP estimate. With the Middle East energy shock bleeding into broader price data, the read is the cleanest pre-FOMC look at whether the inflation acceleration is consolidating or accelerating further. Per analyst commentary referenced in our coverage, market-implied odds continue to lean toward no cuts in 2026, and a hotter print would extend that path. The IOWN rate-sensitive sleeves — utilities, REIT-adjacent exposure, and the homebuilder line through TOL — carry the directional risk. *Avoid Erosion.*

2. Dell reports Thursday after the close — the AI-server bellwether for the IOWN semiconductor and power sleeves arrives on the same day as PCE, with the conference call after the bell.

Per the Dell investor calendar, Q1 fiscal 2027 results release May 28 after market close. Per the company's prior guidance, Q1 revenue is expected in the \$34.7–\$35.7 billion range with approximately \$13 billion of AI-server revenue, and the full-year AI-Optimized Servers forecast sits near \$50 billion (up roughly 103% year over year per Yahoo Finance coverage). The \$43 billion AI-server backlog disclosure is the figure to watch. A constructive read would extend the data-center capital cycle thesis carrying VST, NEE, LRCX, TSM, and CRDO into Friday's open. *Think Like an Owner.*

3. CRDO Q4/FY2026 results land June 1 — the next test for the Q2 additions following Friday's 12.95% move.

Credo Technology closed Friday at \$218.43 after a Zacks upgrade to Strong Buy and Rothschild & Co Redburn initiating with a Buy rating and \$206 target, per Benzinga. The DustPhotonics acquisition is expected to close this quarter and is the focal point alongside the AI connectivity demand trajectory. The Q2 additions (CRDO, VST) have delivered the leadership this thesis was constructed for; the print extends or interrupts that read. *Research Reveals Opportunities.*

4. Today's 10:00 AM ET Conference Board Consumer Confidence print is the first signal on how the war and the inflation backdrop have shifted household sentiment.

Per the Conference Board release calendar, the May reading publishes at 10:00 AM ET today; April's index ticked up to 92.8 from a revised 92.2. The consumer-facing read matters for the IOWN discretionary and homebuilder lines (TOL) and for the broader read on whether the energy shock is starting to filter into household behavior. AutoZone reports Q3 fiscal 2026 results before the open today (consensus \$36.13 EPS on \$4.86B revenue per analyst surveys) — not an IOWN holding, but a clean read-through to discretionary auto-aftermarket spending. *Simplicity Over Complexity.*

5. CTRA remains under pressure at -8.62% Friday — the Devon merger dynamics continue to weigh on the position.

The holding warrants monitoring through the merger close, though the underlying cash generation profile remains intact. The energy sleeve's thesis is in transition as the peace framework progresses: from war-premium leadership to structural supply repositioning. The integrated and downstream names (CVX, VLO) and the midstream line (OKE) provide the sleeve's diversification through that transition. **The physical world matters.**

6. The digital-asset sleeve sits in a wide consolidation range with Bitcoin near \$77,400 overnight — the Friday ETF weakness has not extended.

Per Yahoo Finance and CoinDCX coverage, Bitcoin is trading near \$77,000–\$77,400 with modest 24-hour volatility, isolating Friday's IBIT -2.34% and ETHA -3.53% as positioning-led rather than as a broader risk-off signal. A confirmed Iran framework could broaden the risk-on read into digital assets if it materially compresses the geopolitical premium across the tape. *Think Like an Owner.*

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